

Mr Sanghvi: The need for cash flows

The financial planning exercise was a good way for Mr Sanghvi to realize that his family was going overboard with expenses. The last time anybody had told Mr Sanghvi to watch how much money he spent was his father thirty years ago. Now it was Nikhil, a young man half his age, who was admonishing him. But Nikhil had the numbers in front of him to put Mr Sanghvi on the defensive.

Nikhil encouraged Mr Sanghvi to jot down all his goals (see [Exhibit 76](#)). They also plotted his cash flows alongside.